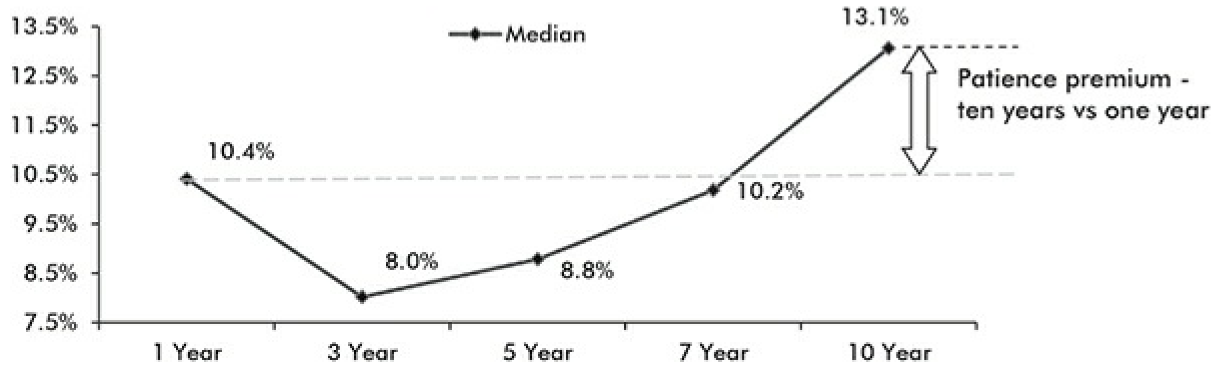
**Exhibit 57: Median equity returns for the Sensex are the highest over the ten-year investment horizon**




*Source: Bloomberg, Ambit Capital*
*Note: Period under consideration is January 1991–February 2017. The investment horizons are calculated on a weekly rolling basis. For instance the median one-year return is the median returns generated by considering 1311 one-year periods including 01/01/1991 to 01/01/1992, 08/01/1991 to 08/01/1992 and so on.*

As the exhibit shows, over the past twenty-six years for the Sensex, the ‘patience premium’ did NOT exist for the three-year and five-year investment horizons compared to a one-year investment horizon, i.e. investors were not incrementally rewarded for being patient for five years versus one year.

So does this mean that as long as a Sensex investor’s investment horizon is less than five years, there is no benefit in being patient? No, it does not. As the holding period increases from one year towards three and five years, volatility (and hence risk) of returns for a Sensex investor reduces significantly as highlighted in the following points:

- The one-year investment horizon has the widest range of equity returns, from a peak of 256 per cent delivered over April 1991 to April 1992 to a trough of -56 per cent delivered over December 2007 to December 2008. The one-year investment horizon can be an intense roller-coaster ride.
- The range of equity returns narrows over the three-year investment horizon from a peak of 62 per cent (CAGR) delivered over January 1991